

Insurance: A Want or a Need?

Youth often feel they are invincible. They will never get sick, injured, or have a car accident. If you do not believe that these things will happen to you, then why would it be necessary to have insurance? Even though it is required by law, many young people choose to have no coverage or not enough coverage. Instead of insurance being a “need” it is regarded as a “want,” a luxury that will be included if there is money left over in the budget.

Regrettably, when incidents happen and you do not have car insurance, the costs are high. If your car gets stolen, you must fully replace the car yourself; if your car gets damaged, you must pay for the repairs yourself; or if you injure another person or yourself in an accident, you must pay the medical bills yourself. So why then do so many young people choose to have no coverage or not enough coverage? The following example shows why Carlos made the decision to omit car insurance from his budget.

Carlos recently filed a Chapter 7 bankruptcy at the age of twenty-five. He got his first credit card as a senior in high school from a retail store where he worked. After this first credit card, he steadily acquired more cards until he owned over thirty of them. He finally realized his debt was out of control. Unfortunately, this realization came too late and his only option was bankruptcy. His lawyer told him that his Chapter 7 bankruptcy would remain on his credit report for ten years and that it would be difficult to be approved for credit with a bankruptcy listed.

This warning didn't stop Carlos from trying to get financing a year later for a car. He lived in a suburb of San Francisco and transportation proved difficult unless he wanted to go directly to the city. Unfortunately, his job was outside of San Francisco and was not even remotely close to any public transportation stop. His coworker with whom he had been carpooling for the past year was leaving the company. Carlos was now without a ride.

